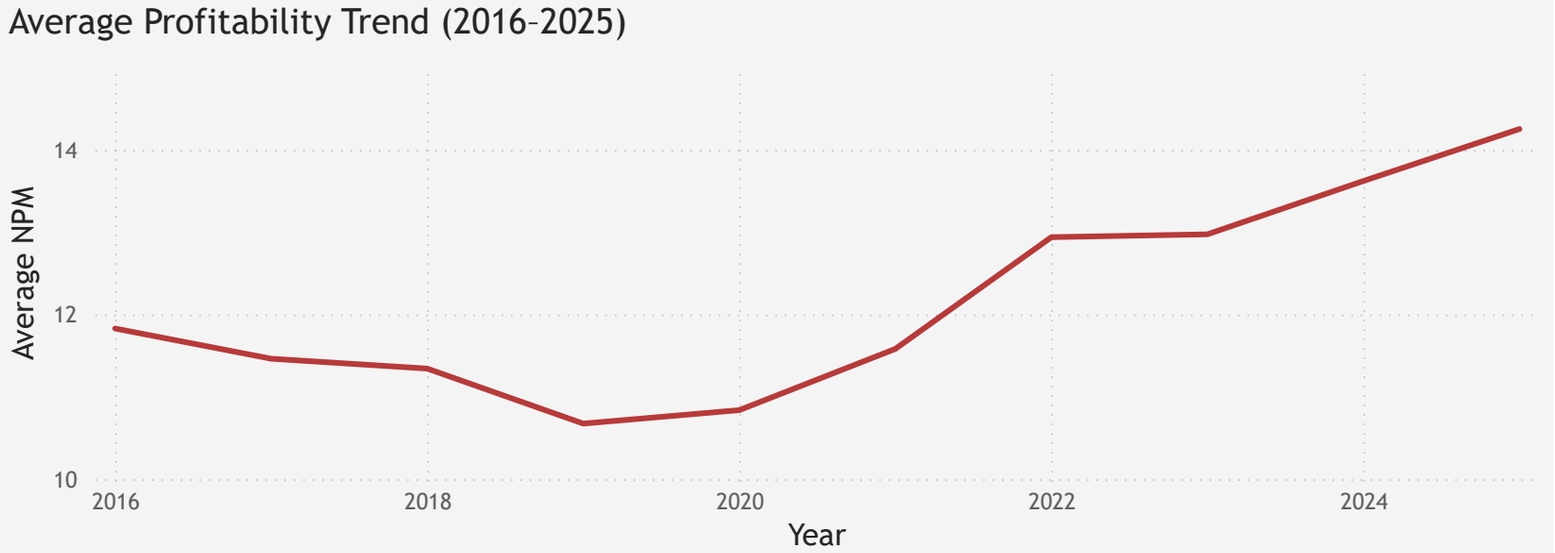
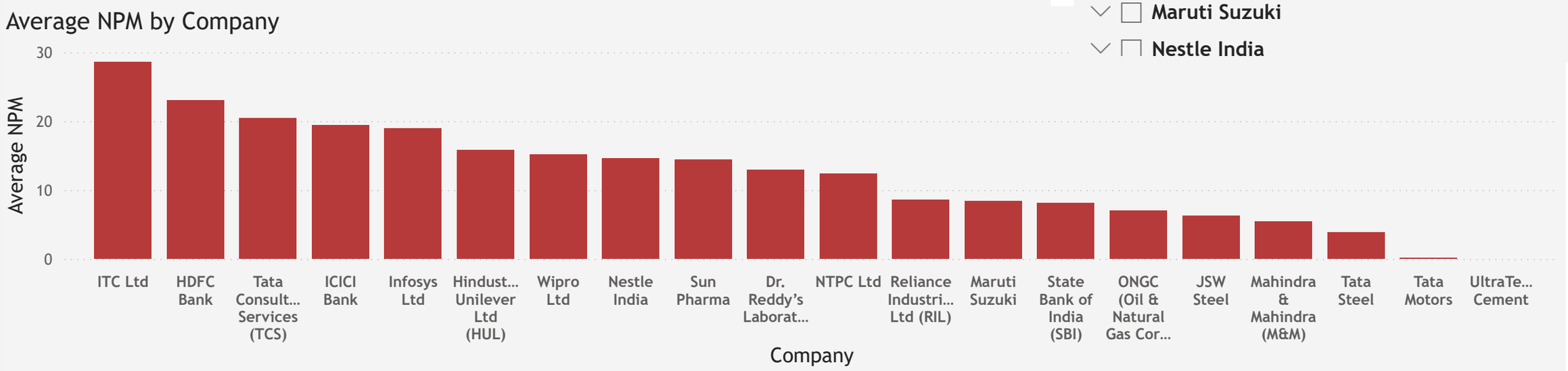
Impact of Capital Structure on Profitability (2016–2025) Indian Companies – Power BI Analysis

1.17	30.59M	0.19	12.15
Average DE	Total sales	Average ROE	Average NPM

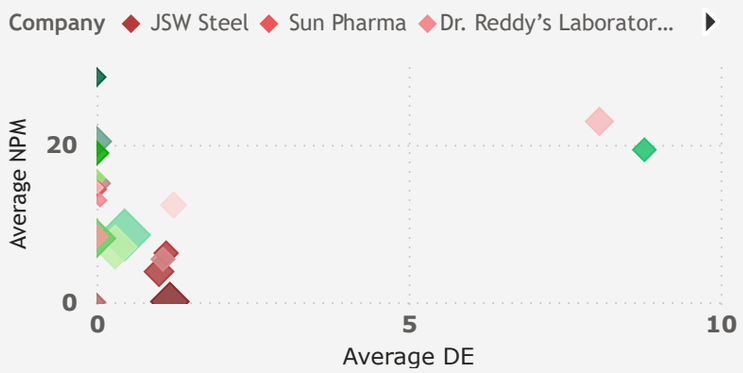


OVERVIEW

- Sun Pharma
- Dr. Reddy's Laboratories
- HDFC Bank
- Hindustan Unilever Ltd (HUL)
- ICICI Bank
- Infosys Ltd
- ITC Ltd
- Mahindra & Mahindra (M&M)
- Maruti Suzuki
- Nestle India



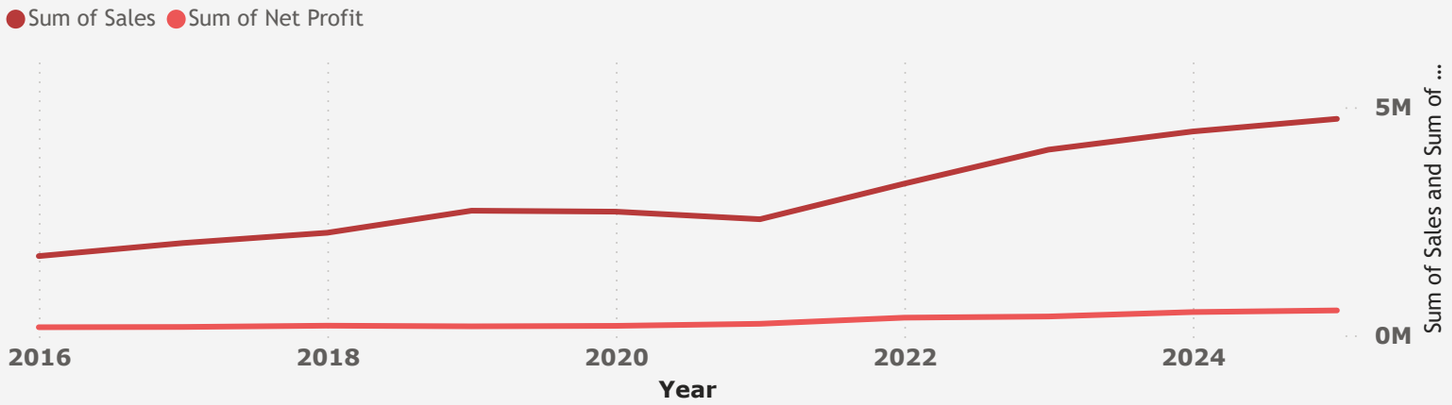
Capital Structure vs Profitability



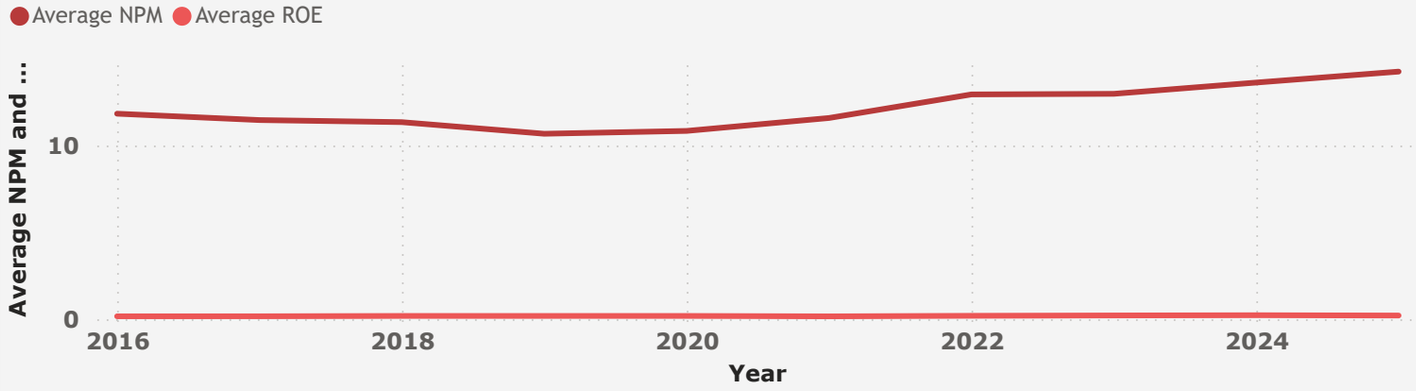
Determinants of Profitability: Capital Structure View

- Higher ROE consistently leads to stronger profit margins.
- Optimal debt usage improves profitability, but over-leveraging is risky.
- Profitability depends on efficiency, not just higher sales.

Sales Growth vs Profitability



Average NPM and Average ROE by Year



Company	Year	Sum of Sales	Sum of Net Profit	Su
Wipro Ltd	2016	51,244.00	8,907.90	
Wipro Ltd	2017	55,448.40	8,493.10	
Wipro Ltd	2018	54,487.10	8,002.80	
Wipro Ltd	2019	59,018.90	9,003.70	
Wipro Ltd	2020	61,137.60	9,722.30	
Wipro Ltd	2021	61,934.90	10,796.40	
Wipro Ltd	2022	79,312.00	12,229.60	
Wipro Ltd	2023	90,487.60	11,350.00	
Wipro Ltd	2024	89,760.30	11,045.20	
Wipro Ltd	2025	89,088.40	13,135.40	
UltraTech Cement	2016	25,153.24	0.00	
UltraTech Cement	2017	25,374.94	0.00	
UltraTech Cement	2018	30,978.62	0.00	
UltraTech Cement	2019	41,462.26	0.00	
UltraTech Cement	2020	42,429.89	0.00	
UltraTech Cement	2021	44,725.80	0.00	
UltraTech Cement	2022	52,598.83	0.00	
UltraTech Cement	2023	63,239.98	0.00	
UltraTech Cement	2024	70,908.14	0.00	
UltraTech Cement	2025	75,955.13	0.00	
Tata Steel	2016	1,01,964.72	-382.78	
Tata Steel	2017	1,12,299.42	-4,240.80	
Tata Steel	2018	1,23,249.07	13,434.33	
Tata Steel	2019	1,57,668.99	10,218.33	
Tata Steel	2020	1,39,816.65	1,556.54	
Tata Steel	2021	1,56,294.18	7,490.22	
Tata Steel	2022	2,43,959.17	40,153.93	
Tata Steel	2023	2,43,352.69	8,760.40	
Tata Steel	2024	2,29,170.78	-4,437.44	
Tata Steel	2025	2,18,542.51	3,420.51	
Tata Motors	2016	2,73,045.60	11,579.31	
Tata Motors	2017	2,69,692.51	7,454.36	
Tata Motors	2018	2,91,550.48	8,988.91	
Tata Motors	2019	3,01,938.40	-28,826.23	
Tata Motors	2020	2,61,067.97	12,070.85	
Total		**3,05,85,739.56**	**30,72,147.61**	**2,**